

competent authorities and has run for years, undoing it carries significant economic and institutional costs," he says.

Meanwhile, brokerages have taken a fresh view of the JSW Steel stock. Morgan Stanley, in a note, said there is little clarity on the grounds for the resolution plan's rejection.

JSW has few options at this point. "The most immediate recourse would be to file a review petition before the same bench, though such petitions rarely succeed without demonstrating patent errors in the judgement," says Tungare. Alternatively, JSW could file a curative petition, where it will have to demonstrate gross miscarriage of justice, but here it will face even steeper odds of acceptance. He says a more practical option for JSW would be to negotiate a settlement with the operational creditors.

One public sector bank executive, who was closely involved in many IBC cases, says the liquidation of BPSL defeats the purpose of the IBC and levying a penalty would have been a more practical option. To him, one possible resolution is to levy a penalty for the period of delay in implementing the plan.

The government is looking into the order and the next steps to be taken and the lenders are likely to file a review petition. "I have already reviewed the order with all the lenders. We took a position, studied the judgement, and got our advocates' view on the judgement. Now we are taking a view in the government on how to approach the judgment. We will finalise it soon," M. Nagaraju, Secretary, Department of Financial Services, said. **BT**

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TRADE ROUND-UP

Landmark Deal

India has finally concluded the free trade agreement with the UK that is set to open up trade and market opportunities for both the countries. It has also stepped up negotiations with the US and the EU

BY SURABHI

PHOTO BY GETTY IMAGES



HEAD START The India-UK free trade agreement is being seen as a precursor to, and most likely a model for, similar agreements with the US and the European Union